(308)

IN THE NATIONAL COMPANY LAW TRIBUNAL, SPECIAL BENCH - I, CHENNAI

CP(CAA)/53(CHE)2022 in CA(CAA)/21/CHE/2021

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation*

of

UR CASTINGS AND ALLOYS PRIVATE LIMITED
CIN NO: U27106TZ2005PTC011750
UR House, II Floor,
1056-C, Avinashi Road,
Coimbatore - 641018

... Petitioner/ Transferor Company

With

UNIMECH INDUSTRIES PRIVATE LIMITED
CIN NO: U29191TZ1978PTC000829
UR House, II Floor,
1056-C, Avinashi Road,
Coimbatore - 641018

... Petitioner / Transferee Company

And

Their Respective Members

Order Pronounced on ***19th September 2022***

CORAM

JUSTICE RAMALINGAM SUDHAKAR, Hon'ble PRESIDENT
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): A.G.Sathyanarayana, Advocate,

ORDER

Per: **SAMEER KAKAR, MEMBER (TECHNICAL)**

The hearing of this Company Petition has been conducted through video conferencing platform.

2. The present Company Petition has been filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Amalgamation of **UR CASTINGS AND ALLOYS PRIVATE LIMITED** (for brevity "Transferor Company ") with **UNIMECH INDUSTRIES PRIVATE LIMITED** (for brevity "Transferee Company") under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') (hereinafter referred to as the 'SCHEME') pursuant to the Scheme proposed by the Petitioner Companies and the said Scheme is also annexed at Page Nos. 123 to 152 to the typed set filed along with the Petition.

3. **1ST MOTION APPLICATION – IN BRIEF**

3.1. The Transferor Company and Transferee Company have filed the First Motion Application vide CA(CAA)/21/(CHE)/2021 seeking directions for dispensation of meeting of Equity Shareholders, Preference Shareholders and Unsecured Creditors of the Transferor Company and

dispensation of meeting of Equity Shareholders and Secured Creditors of the Transferee Company and seeking holding of meeting of Unsecured Creditors of the Transferee Company.

3.2. Based on such application moved under Sections 230-232 of the Companies Act, 2013, directions were issued by this Tribunal, vide order dated 16th February 2022, to dispense the meetings of Equity Shareholders, Preference Shareholders and Unsecured Creditors of the *Transferor Company* and dispensed the meetings of the Equity Shareholders and Secured Creditors of the *Transferee Company.* It was represented that there are no Secured Creditors in respect of the Transferor Company and no Preference Shareholders in respect of the Transferee Company and this Tribunal directed to convene the meetings of Unsecured Creditors of the *Transferee Company* on 02nd April 2022 at UR House, II Floor, 1056-C, Avinashi Road, Coimbatore – 641 018 at 11:00 AM. Accordingly, the Tribunal has appointed Mr.Arjun Mahesh, Director of the Transferee Company as Chairperson and Mr.R.Ramchandar, PCS as the Scrutinizer for the above said meetings. Subsequently, the second motion petition was filed before this Tribunal by the petitioner companies on 12.04.2022 for sanction of the Scheme of Amalgamation by this Tribunal.

3.3. The Chairperson has submitted his Report on the above said meetings on 5th April, 2022 with the Tribunal. From the Chairperson's report, it is observed that the Unsecured Creditors of the Transferee Company had consented in favour of the Scheme. The said Chairperson's report is filed in a separate typeset.

4. RATIONALE OF THE SCHEME

4.1. The rationale and benefits of the Scheme as submitted by the Learned Authorized Representative for the Petitioner Companies would *inter alia* result in the following benefits;

a) Both the Transferor Company and the Transferee Company are part of the same group of Companies. So therefore, the proposed amalgamation is within the Group Companies.

b) Many of the shareholders of both the transferor and transferee companies are one and the same. And to compete with major players and to reduce the statutory compliances under various acts, the transferor company have decided to merge the Transferor Company with the Transferee Company,

all of which is within the same group which results in infusion of investment in the Transferee Company for its business development.

c) The proposed amalgamation would help in formation of a larger and stronger company with a larger capital and asset base and will strengthen and fortify the position of such amalgamated company to raise funds required for the growth and development of the amalgamated Company more efficiently and adequately which will ensure accelerated growth and improved profitability.

d) The Board of directors of the Transferor Company and Transferee Company are of the opinion that the proposed Amalgamation would pave the way for sustained growth and profitability of the group as a whole in the long run.

e) The Scheme would pave way Greater integration and greater financial strength and flexibility for the amalgamated entity, which would result in maximizing overall Shareholders value, and will improve the competitive position of the combined entity.

f) There will be Greater efficiency in cash management of the amalgamated entity, and unfettered access to cash flow generated by the combined business which can be deployed more efficiently to fund organic and inorganic growth opportunities, to maximize shareholder value.

g) The proposed amalgamation would be in the interest of all the companies concerned and would help existing operations to be carried on more conveniently and advantageously with greater focus and pooling of efficient and effective utilization of their resources, standardization and simplification of business processes, bring in economies of scale and reduction in overheads and other expenses and improvement in various other operating parameters and thereby helping in reducing expenditure considerably.

h) The Scheme would be in the best interest of all stakeholders, creditors and all other stakeholders of the respective companies, and is not prejudicial to the interests of the concerned shareholders, creditors or the general public at large.

i) Pursuant to this Scheme all the shareholders of Transferor Company will be allotted shares in Transferee Company as per the relevant provisions of this Scheme.

j) In these circumstances, it is considered desirable and expedient to amalgamate the Transferor Company with the Transferee Company in the manner and on the terms and conditions stated in the said Scheme of Amalgamation.

5. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 01.06.2022 directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region),Chennai (ii) RoC, Coimbatore, (iii) Official Liquidator (iv) the Income Tax Department, and other sectoral regulators, who may govern the working of the respective companies, as well as for paper publication to be made in "Business Standard", English (All India Edition) and "Makkal Kural" Tamil (Tamil Nadu Edition).

6. In compliance to the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service before the Registry of this Tribunal and a perusal of the same discloses that the Petitioner Companies have effected paper publications as

directed by the Tribunal in "Business Standard" (All India Edition) in English and "Makkal Kural" (Tamil Nadu Edition) in Tamil on 28.06.2022. It is also seen that notices have been also served to (i) Regional Director, Southern Region, Chennai on 24th June 2022, (ii) Registrar of Companies Coimbatore on 24th June 2022, (iii) Official Liquidator on 24th June 2022 (iv) Income Tax Department on 24th June 2022, and the proof of the same by way of affidavits have been enclosed with the separate typed set. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows:

7. STATUTORY AUTHORITIES

7.1. REGIONAL DIRECTOR

The Regional Director, *(hereinafter referred to as 'RD')* Southern Region, Chennai to whom the notice was issued in the first motion itself, has filed his Report before this Tribunal on 26.07.2022 Vide SR.No.4657 and has stated in Para 7 of the RD Report as per Clause 8 of Part B of the Scheme provides for the protection of employees of the Transferor Company. All staff and employees of the Transferor Company, in service on the Effective Date, shall be deemed to have become staff and employees of the Transferee Company, with effect from the Appointed Date or date of

joining whichever is later, without any break in their service and other benefits.

7.2. It is further averred in para 8 of the RD Report that as per Clause 4 of Part B of the Scheme that as per Clause 4 of Part B of the Scheme, the Transferee Company shall issue and allot to the Shareholders of Transferor Company fully paid-up equity share of Rs. 100 each for every 116 fully paid-up equity shares of Rs. 100 each held by them in the Transferor Company, as consideration upon effectiveness of the Scheme of Amalgamation. As such the Transferee Company shall issue and allot 49,138 Equity Shares of Rs. 100 each to the Shareholders of the Transferor Company.

7.3. It is further averred in para 9 of the RD Report that Clause 3 of Part B of the Scheme provides for clubbing of Authorized Share Capital of the Companies, as such the Authorized Share Capital of the Transferor Company shall stand altered and merged with the Authorized Share Capital of the Transferee Company. Clause V of the MOA of the Transferee Company shall be altered as the Authorized Share Capital of the Company shall be Rs. 9,30,00,000 divided into 6,00,000 equity shares of Rs. 100 each and 3,30,000 5% Redeemable Preference Shares of Rs. 100 each. It is prayed

that the Hon'ble NCLT, Chennai may direct the Transferee Company to remit the difference in filing fee / stamp duty, if any and also to file the amended MOA and AOA on the above with the Registrar of Companies.

7.4. It is further observed that as per para 12 of the RD report wherein it has been stated that as per the Report of the RoC, Coimbatore, the Transferor Company and Transferee Company have filed their statutory returns up to 31.03.2021 and has reported that there are no prosecution / complaint/inspection or Investigation is pending against the Companies.

7.5. Thus, after examining the Scheme, except the observations made in para 9 of the RD Report, the Regional Director in their Report has stated that they have decided not to make any objection to the Scheme.

7.6. OFFICIAL LIQUIDATOR

In relation to the Official Liquidator, *(hereinafter referred to as 'OL')* to whom the notice was issued has filed the Report before this Tribunal on 26.07.2022 vide SR.No.4646 has stated that they have appointed M/s. Sundaresan Lakshmanan & Co., Chartered Accountants from

the panel maintained by their office to verify into the affairs of the Transferor Companies. The Chartered Accountants in their report submitted before the Official Liquidator have observed as follows;

- The Chartered Accountants have scrutinized the books and other relate documents as on 31.03.2020 of M/s. UR Castings and Alloys Private Limited (Transferor Company) for the purpose of submitting their report under Section 230-232 of the Companies Act, 2013. The Transferor Company closed its books of accounts at the time of inspection. The books and papers scrutinized and examined included, interlaid, the books of accounts, the statutory registers and records including minutes of proceedings of the meeting of the Board of Directors and Statutory Returns filed by the company.

- Based upon the scrutiny of the books of accounts basis Ind-AS and statutory registers and records and other books and papers and also the records filed in and maintained at the Office of the Registrar of Companies, Coimbatore, Tamil Nadu under whose jurisdiction the company falls, the Chartered Accountant reports that:

  - The Chartered Accountants have verified all ROC documents and registers have also been verified and they have been maintained properly.

  - There is no Secured Creditor in the Transferor Company. The Unsecured Creditors of the Transferor Company have approved the scheme with requisite

majority constituting 90.2% of the total value of credit.

- The Transferor Company is maintaining proper books of accounts as per provisions of and requirements of the Companies Act, 1956 / relevant provisions of the Companies Act, 2013 and have maintained and written up the same in accordance with normally accepted accounting principles.

- Entries have been made in the statutory registers and records in accordance with the requirements of the Companies Act, 1956/ relevant provisions of the Companies Act, 2013 well within the statutory time prescribed under the Act.

7.7. Further in Para 4 of the OL report it was further submitted that on examination of the books and papers and books of accounts of the Transferor Company to the best of their knowledge and relying on the information and explanations given to them, the Chartered Accountants further reported that they have not come across any misfeasance by the Directors which would attract the provisions of Sections 339 and/ 340 of the Companies Act, 2013, The Chartered Accountants are also of the opinion that the affairs of the company were not being conducted in a manner prejudicial to the interest of its members or public interest.

7.8. From the above observations made by the Chartered Accountant, the Official Liquidator sought to take on record and consider the report of the Chartered Accountant and has also sought to fix the remuneration payable to the Auditor who has investigated into the affairs of Transferor Company. In this regard, this Tribunal hereby directs the Transferor Company to pay a sum of ***₹60,000/- + GST (Rupees Sixty Thousand only Plus GST)*** to the Official Liquidator for the payment of fees payable towards the Auditor who has investigated into the affairs of the Transferor Company.

7.9. OTHER STATUTORY AUTHORITIES

In relation to the other statutory authorities to whom notices have been issued, neither they have filed any reply nor raised any objections to the Scheme and in the circumstances, this Tribunal presumes that other statutory Department viz. The Income Tax Department do not have any objection to the sanction of the Scheme.

7.10. Despite notice having been served, there is no representation from the Department of Income Tax and this Tribunal in terms of Section 230(5) of the Companies Act,

2013 presumes that the Department of Income Tax does not have any objection to the sanction of the Scheme.

7.11. In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutory dues from the transferor or transferee or any other person who is liable for payment of such tax dues, the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."

8. VALUATION REPORT

8.1. The Learned Counsel for the Petitioner Companies invited the attention of this Tribunal to the Valuation Report obtained from one Poosaidurai.S, Registered Valuer dated

14.10.2020, wherein it has been recommended by the Independent Valuer that :

- *1 (one) fully paid up Equity Share of INR 100 each of UMI for every 116 (one hundred and sixteen) fully paid up Equity Shares of INR 10 each held in URCAPL.*

9. ACCOUNTING TREATMENT

9.1. The Learned Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies have complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of the Petitioner Companies are placed at Page Nos. 239 of the typed set filed in CP(CAA) 53(CHE)/2022.

10. OBSERVATIONS OF THIS TRIBUNAL

10.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie*

beneficial to the Company and will not be in any way detrimental to the interest of the shareholders of the Company. In view of the absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended at **Page Nos. 123 to 152** with the Company Petition as well as the prayer made therein.

10.2. The Learned Counsel for the Petitioner companies submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Tribunal or erstwhile Company Law Board.

10.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

10.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

11. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, right and interest of the Transferor Company shall, pursuant to section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Company shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company.

(iii) That the Appointed date for the Scheme shall be **1st April 2020** as mentioned in clause 1.1(b) of Part A of the SCHEME itself.

(iv) That the Transferee Company do without further application allot to such members of the Transferor Company, as have not given such notice of dissent, as

is required by Clause 4 of Part B the SCHEME herein the shares in the Transferee Company to which they are entitled under the said SCHEME.

(v) That all proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(vi) That all the employees of the Transferor Company in service on date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Transferee Company without any break or interruption in their service.

(vii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, Coimbatore and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(viii) That the Transferor Company and the Transferee Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Company shall be dissolved without winding up and the Registrar of Companies shall place all documents relating to the Transferor Company registered with him on the file kept by him in relation

to the Transferee Company and the files relating to the said company shall be consolidated accordingly.

(ix) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

12. Accordingly, the Company Petition stands **allowed** on the aforementioned terms.

-Sd-

SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-

JUSTICE RAMALINGAM SUDHAKAR
PRESIDENT